Distortions in the market economy

Sometimes, policymakers intervene in the working of a market in order to help poor people. As an example, the government may use state power to coerce fertilizer companies to sell fertilizer at a low price.

While this may indeed make fertilizer cheaper for some intended beneficiaries, this also distorts the resource allocation of the economy. The overall cost–benefit analysis is generally not favourable. We are better off letting the system of markets work out, and addressing the problem of poverty through a poverty programme. When looking at a given industry, such as the fertilizer industry, the only consideration should be to identify and address market failures if they exist.

The cleanest way to do redistribution is to pay out cash. We should let the price system do its job of effectively allocating resources, so as to obtain high GDP growth. The market economy would grow the pie, the government would tax a slice of the pie, and use this money for redistribution.

Subsidy payments distort the behaviour of recipients. Poor people should be striving to obtain skills and jobs. When welfare payments are reliably obtained, this would induce some to subsist on the subsidy and not strive to climb out of poverty. This ‘moral hazard’ is not a problem when the subsidy is Rs 100 per day and paid out to 0.1 billion people, but it does become an issue with other subsidy mechanisms.

So far, we have taken a somewhat static view that the interventions which try to address poverty hamper the *level* of GDP. The problems are more severe when the poverty objective clashes with GDP *growth*. Many interventions of the government are done with the intention of reducing poverty, but they end up perpetuating poverty by doing damage to growth. This is short-sighted.